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General Comment

See attached PDF for Digital Liberty's comments in response to this inquiry. We appreciate the opportunity to submit.

Attachments

Digital Liberty Comments AI Robocalls and Robotexts

Digital Liberty Comments on AI



**Before the
Federal Communications Commission
Washington, DC 20554**

In the Matter of)
)
Implications of Artificial Intelligence Technologies) CG Docket No. 23-362
on Protecting Consumers from Unwanted)
Robocalls and Robotexts)

**Comments on Notice of Proposed Rulemaking and Notice of Inquiry by
Digital Liberty**

**James Erwin
Executive Director**

September 19, 2024

Digital Liberty appreciates this opportunity to submit short comments on the Commission's Notice of Proposed Rulemaking and Notice of Inquiry on use of AI technology for unwanted robocalls and robotexts. Our comments seek to address only one implication of this proceeding, which is the potential suppressive effect on voter turnout the Commission could have if it is too aggressive in its prosecution of unwanted robotexts and provides insufficient safeguards or standards of evidence for wrongdoing.

On the surface, there is nothing unusual about this proceeding. The Commission has done a commendable job¹ enforcing existing laws to prevent scam calls from deceiving consumers and should continue to enforce existing law² as AI technologies make these calls more convincing. There may be some need to adopt new measures to respond to new technologies used to commit fraud, and the NPRM contains such proposals as increased fines and expanded call-blocking requirements for consumers on the Do Not Call list.

But there is a delicate balance between preventing scams and blocking legitimate uses of robocalls.³ While the COMMISSION should certainly block *illegal* robocalls and texts, *unwanted* communications are sometimes necessary. When the Commission gets too trigger-happy about requiring carriers to block calls and texts, businesses cannot reach customers, schools cannot notify parents, and political campaigns cannot reach voters.

This NPRM is especially alarming on that last point. According to the Commission's press release from September 4, the rulemaking would:

- Expand the requirement to block calls based on a reasonable do-not-originate list to include all U.S.-based providers in the call path.
- Bolster existing requirements for providers to block calls following Commission notification to ensure that bad actors cannot circumvent the requirement.
- Establish a Session Initiation Protocol (SIP) code 603+ as the exclusive code to notify callers when calls on IP networks are blocked based on reasonable analytics to better correct erroneous blocking.
- Establish a base forfeiture for providers that fail to take affirmative, effective measures to prevent customers from using their networks to originate illegal calls, and allow the Enforcement Bureau to increase this amount to the maximum allowed for non-carriers under the Commission's rules.

¹ Erwin, J. (2024, July 11). *COMMISSION continues robocall crackdown*. Digital Liberty. <https://www.digitalliberty.net/Commission-continues-robocall-crackdown/>

² Erwin, J. (2024a, May 28). *COMMISSION proposes 6m fine for fake Biden robocalls before the NH primary*. Digital Liberty. <https://www.digitalliberty.net/Commission-proposes-6m-fine-for-fake-biden-robocalls-before-the-nh-primary/>

³ Erwin, J. (2019, June 27). *COMMISSION should think twice before hanging up on Robocalls*. Digital Liberty. <https://www.digitalliberty.net/Commission-should-think-twice-before-hanging-up-on-robocalls/>

- Require originating mobile wireless providers to block text messages following Commission notification of suspected illegal texts or ultimately have all of their text messages blocked by Commission direction.
- Require mobile wireless providers to offer email-to-text as an opt-in service to better protect consumers.⁴

The penultimate point is concerning because it would require carriers to block robotexts after FCC employees contact them about *suspected* illegal texts. There is no due process requirement that wrongdoing be proved or that fines be levied; agency personnel could shut down robotexting operations on mere suspicion, perhaps without even notifying the originator of the texts by working with the carriers directly.

The NPRM itself does not explicitly empower the Commission to take action on mere suspicion, but authorities derived from the Telephone Consumer Protection Act of 1991 are the basis for that bullet point in the press release. Either way, it gives a clear indication of how current FCC leadership and staff would choose to interpret their authorities, unless explicitly prohibited by statute or regulation.

The problem is that robotexts are an important tool for get-out-the-vote (or GOTV, as it is known in the trade) efforts. Research has shown that robotext campaigns are one of the most effective ways to get voters to the polls. A study of Danish elections found that robotexts are effective because they are more noticeable than legacy methods like posts or mailers, are more cost-effective than making calls, and are more time-efficient than door-to-door canvassing.⁵

Similar analyses by the NAACP in Mississippi⁶ and analysis by Tech for Campaigns of 27 states in the 2020 election showed similar increases in turnout to the Danish study.⁷ All three found that the increase was not statistically significant, only 0.7 percent, but the consistency across all three indicates that it is a reliable indicator of increased voter turnout from robotexts. Furthermore, 0.7 percent is more than sufficient to swing close elections, of which there are many in the United States for competitive Presidential, Senate, House, and state legislative races.

Much like the FBI, CDC, and other federal agencies contacting social media companies about deleting user posts, this could easily be abused.⁸ The Biden Administration has made clear

⁴ Federal Communications Commission. (2024, September 4). FCC TO CONSIDER RULES TO FURTHER PROTECT CONSUMERS FROM UNWANTED CALLS & ILLEGAL TEXTS. *Docs.Fcc.Gov*. Retrieved September 19, 2024, from <https://docs.fcc.gov/public/attachments/DOC-405205A1.pdf>.

⁵ Upload Software (2023, December 21). *New study shows that text messages drive voter turnout*. Mobile Commons. <https://uplandsoftware.com/mobile-commons/resources/blog/new-study-shows-that-text-messages-drive-voter-turnout/>

⁶ Goldstein, G., & Roman, M. (2021, May 24). *Texting out the vote: Do GOTV texts help motivate voters to the polls?: Sister district project*. Sister District. <https://sisterdistrict.com/research/do-gotv-texts-motivate-voters/>

⁷ *2020 political texting report*. Tech For Campaigns. (n.d.). <https://www.techforcampaigns.org/impact/2020-texting-analysis>

⁸ Murgida, J. (2023, July 10). *Should bureaucrats police social media?*. Digital Liberty. <https://www.digitalliberty.net/should-bureaucrats-police-social-media/>

they do not value freedom of speech on the internet when their preferred narratives about COVID-19 are contested. What is to stop the Commission from ordering carriers to block texts from the administration's opposition on the pretext that such texts are "unwanted"? Doing so in the run-up to (on even on) Election Day would not give the campaign time to react and contest the injunction before the polls close. This Commission's rulemaking could amount to bureaucratic voter suppression.

While the rule is unlikely to take effect before this coming election, it is not difficult to imagine abuses by future administrations, protestations of the "independence" of the Commission notwithstanding. Even more nefarious, the Commission could use the complaints of some voters who do not want to receive text blasts as a pretext to dub all such blasts from a given campaign "unwanted," require the carrier to shut down the GOTV operation on the "suspicion" that the unwanted calls are illegal, and block texts to voters who are happy to receive a reminder to go to the polls.

Even if no voters want to be reminded by text to vote on Election Day, is not higher voter turnout a civic good in itself? The Commission should work to increase voter information and turnout, not potentially stand in the way.

To ensure that Americans have access to timely information about Election Day and to give campaigns a fair shake at efficiently reaching voters, the Commission should clarify in any final rule that more proof of wrongdoing than mere "suspicion" is required to block robotexts and include an explicit exemption for GOTV efforts. Our nation's civic health will be improved by it.

Digital Liberty thanks the Commission for the opportunity to comment on this matter, and we commend the Commission for seeking public feedback on this matter.



**Before the
National Science Foundation
Washington, DC 20554**

In the Matter of	)	
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Request for Information on the Development	)	90 FR 9088
of an Artificial Intelligence (AI) Action Plan	)	
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**Comments on Notice of Notice of Inquiry by
Digital Liberty**

James Erwin

Executive Director

Introduction

Digital Liberty appreciates this opportunity to submit comments on the future of Artificial Intelligence regulation in the United States. The White House is to be commended for consulting the public on this issue, which has the potential to transform the American economy, society, our very way of life.

There will doubtless be much fear expressed in the comments you receive through this proceeding – fear of dystopian science fiction scenarios, fear of an uncertain future of work, fear that their favored constituency will not be at the table dividing the spoils. In short, fear of the unknown. It is this deep-seeded human characteristic, a survival instinct rooted in fear of the dark night sky where lurked predators in the caveman days, that motivates a whole host of modern-day authoritarian regulation, an inability to cope with uncertainty that will inform countless filings encouraging prohibitions on this or that use of AI, or liability for developers and deployers, or restrictions on who is allowed to use frontier systems.

We at Digital Liberty urge you instead to remember that we are Americans. What made this country great was an uncommon instinct to reject the fear of the unknown, the gumption to strike out into the wilderness, to conquer a continent, to overthrow the ancient institutions of aristocracy and slavery, to liberate the rest of the world from the comfortable tyranny of fascism and communism (which most men crave rather than confront the dark uncertainties of liberty, until too late they realize the oppression they have invited upon themselves), to put a man on the moon, and to invent the unimaginable technological devices we take for granted in our daily lives. We urge you in these comments to embrace the vast potential of the unknown rather than to fearfully regulate it. Rather than prohibit AI development, we implore you to prohibit instead the interventions and regulations too often sold as tyranny for the good of its victims.

Others will surely cover the extensive national security implications of artificial intelligence. We will focus instead on the economic potential of permissionless innovation in AI, explain the need for Congressional buy-in to ensure sustained development, and propose as our central policy prescription the execution of the Trump agenda on taxes, spending, and regulation. Additionally, we suggest Congressional preemption of state laws and federal regulation that might inhibit those economic benefits, in the mold of the successful Internet Tax Freedom Act, and the executive removal of Biden-era export controls on frontier AI systems that have not worked and only restricted our companies from selling to the global market.

The need for AI

As the administration has acknowledged through the president's executive order on artificial intelligence, AI is here to stay, and it is fitting and proper that Americans embrace innovation to continue leading the world in technological development.¹ It is no secret that competition with the People's Republic of China and the Chinese Communist Party will remain a generational challenge for the foreseeable future. To continue leading the world militarily, the United States

¹ <https://www.federalregister.gov/documents/2025/01/31/2025-02172/removing-barriers-to-american-leadership-in-artificial-intelligence>

must embrace and enhance its AI leadership. As Senator Ted Cruz recently put it, “If there are going to be killer robots, I’d rather they be American robots than Chinese robots.”²

But as we have repeatedly argued, competition with China will be primarily economic in nature. Remaining ahead or at least at parity with the CCP regime is militarily essential, but embracing free market principles in AI development is one of the ways in which the United States can obtain a clear advantage over China. While they have an economy of scale that we never can match, even with the accelerating implosion of their population due to low fertility, they will never fully embrace market competition to improve outcomes for consumers because their regime cannot tolerate the uncertainty of the results. AI freedom in China could threaten the very foundations of the regime, so they will never allow it; we will never outclass them in technology or growth if we similarly restrain ourselves.

And the US can achieve the growth it needs to secure a dominant position against the Chinese regime by allowing unfettered AI innovation. Treasury Secretary Scott Bessent’s stated goal of 3 percent annual GDP growth has been just out of reach for over two decades as politicians consistently aim for it. To finally meet this ambitious target and usher in a true American Golden Age, and bury China’s communist system in the process, permissionless AI innovation may be the final ingredient. The administration’s agenda to slash regulations, shrink the federal bureaucracy, unleash energy production (both fossil fuel and nuclear), and make the 2017 Trump tax cuts permanent will all enable economic growth. All that is missing is a stimulant to either increase the workforce or boost productivity. AI will do the latter and may be just the push needed to get growth to the Golden Age target.

A 2023 analysis by Goldman Sachs found just this.³ According to the Goldman Sachs report, U.S. GDP growth will begin seeing an impact by 2027 with growth increasing annually into the 2030s. Growth rates in this period are expected to exceed 3 percent, in comparison to the 1.9 percent estimated GDP growth without AI. These numbers also account for the negative effects of declining R&D expenditures which only serve to strengthen the case for AI being a boon to the US economy. They also assume all other factors being equal, including no restoration of the R&D tax credit and other expired pro-growth aspects of the 2017 tax cut that Congress is currently attempting to restore through reconciliation. The restoration of these provisions for American companies, continued lowering of the corporate income tax, and a permissionless innovation disposition by the federal government could well deliver this 3 percent target sooner than 2030, but only if AI is allowed to flourish.

Other analyses of the growth potential of AI have consistently found that gains in workforce productivity could add trillions to our GDP. An October 2023 report by McKinsey Global Institute found that the AI “arena” could grow from about \$85 billion in revenue in 2022 to \$230–\$920 billion by 2040. By 2040, AI software/services could rival today’s major industries in size.⁴

² <https://insideaipolicy.com/ai-daily-news/senate-commerce-chair-cruz-opposes-regulating-ai-avoid-killer-robots>

³ <https://www.goldmansachs.com/insights/articles/ai-may-start-to-boost-us-gdp-in-2027>

⁴ <https://www.mckinsey.com/mgi/our-research/the-next-big-arenas-of-competition>

AI is also expected to create significant changes in the labor market and productivity. McKinsey projects that by 2030, automation could take over tasks accounting for 30 percent of hours worked in the U.S compared to about 22 percent absent generative AI. By 2040, the total annual revenues from new high-growth arenas could reach \$29 to \$48 trillion globally, thanks in large part to AI. AI leaders are investing heavily in R&D to employ new technologies as fast as possible. This can be seen in the efforts of companies such as OpenAI, Meta, and Google devoting resources into proprietary data and computing infrastructure to maintain a competitive edge. This suggests AI could raise productivity growth by enabling humans to offload certain types of work, while potentially creating new jobs.

This is a stumbling block politically because the fear of jobs automating away justifies much of the opposition to technological progress in our current moment. These fears are understandable, but historically illiterate. Leaving aside the obvious that a parochial attachment to currently works usually dooms societies to stagnation and atrophy, other research suggests creative destruction entails creation of new job roles. A study from an MIT professor found that 60% of current job titles did not exist prior to 1940.⁵ As Peter Dizikes illustrates in his article explaining the study:

In 1900, Orville and Wilbur Wright listed their occupations as “Merchant, bicycle” on the U.S. census form. Three years later, they made their famous first airplane flight in Kitty Hawk, North Carolina. So, on the next U.S. census, in 1910, the brothers each called themselves “Inventor, aeroplane.” There weren’t too many of those around at the time, however, and it wasn’t until 1950 that “Airplane designer” became a recognized census category.⁶

The administration would do well to ignore the doomsaying of the luddites and embrace a future where our current jobs become easier and new opportunities open up with some relatively minor reskilling.

Businesses have also been quick to adopt AI technologies. In an April 2023 McKinsey survey, one in three firms had adopted generative AI in at least one business function, and by March 2024 that share doubled to two-thirds. 40 percent of companies that were surveyed planned to increase AI investments. Now is not the time to abandon our edge and allow ourselves to be left behind.

The need for Congressional buy-in

To achieve the potential economic growth described above, the administration is already on the right track. The legislative agenda we have alluded to multiple times – pro-growth tax policy, deregulation, energy dominance, less bureaucracy, and fiscal restraint – will catalyze economic growth enabled by AI productivity gains.

Our concrete policy recommendations are to stay the course on these big-ticket items and work with Congress to pass a reconciliation bill that makes the 2017 tax cuts permanent while

⁵ <https://academic.oup.com/qje/article-abstract/139/3/1399/7630187?redirectedFrom=fulltext&login=false>

⁶ <https://news.mit.edu/2024/most-work-is-new-work-us-census-data-shows-0401>

permanently doing away with unneeded legacy regulations and federal employees and opening up more federal land to resource extraction. We also would echo the entire executive order on AI that rolled back the previous administration's disastrous policies instituting DEI and labor requirements that were informed by fear of the unknown rather than the possibilities of the future.

Herein lies the problem with the EO: it overturned a previous White House EO, that was itself intended to overturn the 2020 EO from the first Trump administration. While the policy statements are ones we endorse, it is not permanent policy and can be easily overruled by whichever single human being happens to occupy the Oval Office. To cement a legacy that sets our country up for future success, the administration should get Congressional buy-in on its approach to AI. EOs can secure four years of policy; black-letter law can secure the next ten, twenty, or even thirty years of AI leadership.

Additionally, states are moving to regulate AI in disastrous ways. California narrowly avoided catastrophe when Governor Gavin Newsom vetoed a measure that would have made developers liable for criminal uses of their products last year. Colorado was not so lucky. Virginia's governor needs to do the same before the end of next week or a legislature-passed law will impose onerous requirements on innovators in the commonwealth and chill investment. Texas is considering a bill that would be a disaster as well.

In all, there are over 700 federal and state AI proposals that could strangle innovation.⁷ The legislation most urgently needed from Congress is a preemption of both federal regulation that would create the learning period moratorium proposed by the R Street Institute's Adam Thierer.⁸ Such a law would prevent future administrations from undoing the good work of this one, effectively codifying the president's executive order in federal law. It would more urgently stop states from acting out of fear and parochial concerns and regulating or imposing liability on AI developers.

Federal preemption has the potential to create a consistent legal environment for AI across all states. States are beginning to pass a patchwork of AI-related laws – ranging from bans on certain uses such as facial recognition to transparency or risk assessment requirements that vary by jurisdiction. This fragmented approach can raise compliance costs and uncertainties for AI developers and companies operating nationally. A federal law that preempts state AI rules could prevent burdensome regulations from stifling AI research and deployment.

The precedent for federal preemption to prevent bad policy can be found in the Internet Tax Freedom Act.⁹ Passed by a Republican Congress and signed into law by President Clinton as a temporary measure in 1998 and made permanent by a bipartisan coalition in 2016, the ITFA prevented discriminatory taxes on interstate commerce facilitated by the internet or taxes on internet services itself. Congress recognized the possibility of rent-seeking of state, local, and federal jurisdictions off the growing internet economy and acted decisively to keep internet access and online commerce cheap and available to most Americans.

⁷ <https://www.multistate.ai/artificial-intelligence-ai-legislation>

⁸ <https://www.rstreet.org/commentary/getting-ai-policy-right-through-a-learning-period-moratorium/>

⁹ <https://www.congress.gov/crs-product/IF11947>

The economic case for a moratorium

The ITFA is also a good precedent for preemption of AI regulation because it led to the kind of economic benefits the United States stands to gain from permissionless innovation in AI. According to a 1999 report by the Department of Commerce:

IT-producing industries (i.e., producers of computer and communications hardware, software, and services) that enable e-commerce play a strategic role in the growth process. Between 1995 and 1998, these IT-producers, while accounting for only about 8 percent of U.S. GDP, contributed on average 35 percent of the nation's real economic growth.¹⁰

The internet economy was taking off before the ITFA, and it only accelerated in its aftermath. Data from the Bureau of Economic Analysis found that in 2021, the U.S. digital economy accounted for \$3.70 trillion of gross output, \$2.41 trillion of value added, \$1.24 trillion of compensation, and 8.0 million jobs. Growth in price-adjusted GDP was 9.8 percent in 2021, greatly outpacing growth in the overall economy, which increased 5.9 percent.¹¹ In 2022, the U.S. digital economy added nearly \$2.6 trillion in value to the overall U.S. economy.¹²

Much of the growth enabled by the ITFA has been through advantageous trade for the United States. U.S. exports of digitally-enabled services accounted for 64 percent of all U.S. services exports, driving the \$278 billion trade surplus in services.¹³ Replicating this successful, pro-innovation policy can do for AI productivity gains what the tax moratorium did for the internet economy. The internet age drove the late 90s boom, the last time that we experienced sustained 3 percent growth. AI will likely do much of the same for the late 2020s if we embrace a similar preemption policy.

The legal case for ITFA

There has been some concern that Congress cannot preempt state law without passing its own policy, meaning a total “wild west” preemption would not hold up as it might represent a violation of the anti-commandeering principle based in the 10th Amendment. As we alluded to in our opening, we should not fear the uncertainty and opportunity of the wild west, but a thorough Congressional research service report has found that the ITFA model would work constitutionally for AI.¹⁴

¹⁰ https://www.commerce.gov/sites/default/files/migrated/reports/ede2report_0.pdf

¹¹ <https://www.bea.gov/system/files/2022-11/new-and-revised-statistics-of-the-us-digital-economy-2005-2021.pdf>

¹² <https://www.trade.gov/digital-economy-reporting#:~:text=According%20to%20the%20Department%20of,to%20the%20overall%20U.S.%20economy>

¹³ <https://www.commerce.gov/news/fact-sheets/2024/09/fact-sheet-international-trade-administration-efforts-advance-us>

¹⁴ <https://www.congress.gov/crs-product/IF11947>

In short, the Supremacy Clause contained in the constitution can override patchworks of state laws. The CRS notes that Congress may consider preempting state AI laws as a “guardrail” for AI development. Preemption as modeled by the ITFA offers an analogous case to understand how possible preemption laws may arise for AI. ITFA was an example of narrow federal preemption: it barred states from imposing internet-specific taxes, like taxes on ISP services or online-only sales taxes, that would “discriminate” against electronic commerce. This preemption was designed to promote innovation by preventing a patchwork of burdensome state taxes on the fledgling internet industry. Congress justified ITFA under the Commerce Clause power to regulate interstate commerce.

CRS notes that despite the 10th Amendment’s anti-commandeering principle (reinforced by cases like *Murphy v. NCAA* in 2018), ITFA-style preemption is likely a valid exercise of federal power: it confers a federal right on private actors to be free from certain state taxes impeding interstate commerce. As long as Congress acts within its authority endowed by the Commerce Clause, it can preempt state legislation. Commandeering, on the other hand, involves forcing states to enforce federal mandates in cases where the 10th amendment may apply in the states’ favor.

The CRS analysis suggests preemption can be designed to allow some state flexibility such as allowing for the federal government to set baseline safeguards while precluding states from initiating extreme policies such as blanket bans on AI technology. In cases of litigation regarding taxation of digital services and products, courts have rested their judgment on “whether an analogous tax involving a comparable nondigital good or service exists, and if so, whether the good or service is taxed in the same manner. If a court finds an analogous tax exists, then it typically holds that the ITFA does not preempt the state or local government’s tax on electronic commerce”. This may hold back the Federal government in preempting certain regulations that are connected to services or industries that have deployed AI to replace or augment certain functions. If a firm produces digital media content that was previously created by humans, it is possible that AI NFTs and AI-generated art or other products previously held eligible for taxation may apply to similar products created by AI.

The ITFA is legal and so would a similar law to prevent a patchwork of state laws interfering with interstate commerce.

Export Controls

The final policy prescription we offer is an end to Biden’s export controls on frontier AI systems. The previous administration imposed export controls on frontier AI so our rivals in China could not build advanced GPUs. As the recent Deep Seek demonstration has shown, they did not work. At this point, all they are doing is preventing American companies from accessing and dominating the global market. Every country wants to get in on the AI game. They will either buy our GPUs or China’s. China will build its own, meaning there is no real national security risk in selling globally. It is best to get the world on the American standard, and to emulate our open markets and competition. Restricting global access to our products is the wrong policy to continue at this time.

Conclusion

Digital Liberty once again thanks the administration for inviting comments on this vital issue. American can be great once again, and experience a new Golden Age, if we embrace AI and its economic potential. To do this, we must liberate our economy from excessive government control, preempt state laws that would undo recent progress, and allow our companies to sell chips and GPUs around the world. If we instead cower in fear of the unknown, we will be doomed to mediocrity. This administration is already on the right path – a few additional pro-growth policies can win the future for America, leaving our rivals in the dust.